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Brazil Macro Monthly

A bumpy beginning

Highlights

- Global disinflation is becoming clearer, and tighter monetary policy is expected to drive some G7 economies into a recession;
- In Brazil, the economic recovery continues, albeit at a slower pace. We expect GDP to rise by 3% in 2022, 1% in 2023 and 0.8% in 2024;
- Inflation has been benign, reflecting global disinflation and tighter monetary policy. We see IPCA at 5.8% in 2022, and we have adjusted the 2023 forecast slightly to 5.4% (5.2% before). Expansionary fiscal policy is a risk for the medium term, though. We forecast the IPCA at 4.0% in 2024, above the target (3.0%);
- We expect the fiscal balance to fall back into negative territory in 2023 and 2024, as the elected government signals to increase expenditures substantially above the constitutional cap;
- Facing higher domestic fiscal risks, we adjusted the forecast for the exchange rate at the end of 2022, to BRL/USD 5.25 from BRL/USD 5.00 and maintained the expectation of BRL/USD 5.30 for the end of 2023. Meanwhile, the balance of payments continues in a favorable dynamic;
- A more expansionary fiscal policy postpones the room for interest rate cuts. We now see the Selic rate at 13.75% until the end of 2023 (10.00% before), and gradually decreasing to 10.00% throughout 2024. However, if the fiscal regime does change, the nominal rates could stay higher permanently. In this case, the Copom may even resume the tightening cycle in 2023.

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XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)	2024 (F)
GDP growth (%)	1.8	1.2	-3.3	4.6	3.0	1.0	0.8
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.0	8.5	9.0
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	5.8	5.4	4.0
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.25	5.30	5.40
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.3	0.7	1.2	-0.9	-0.7
Gross debt (% GDP)	75.3	74.3	86.9	78.8	74.8	79.7	83.0
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	62.5	59.0	56.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	336.2	347.5	350.8
Imports (USD Bn)	185.3	185.9	158.8	219.4	273.7	288.5	294.8
Current Account (USD Bn)	-54.8	-68.0	-28.2	-46.4	-57.8	-64.5	-67.0
Current Account (% GDP)	-2.9	-3.6	-1.9	-2.8	-3.0	-3.2	-3.3
FDI (USD Bn)	78.2	69.2	37.8	46.4	84.5	78.3	76.0
FDI (% GDP)	4.1	3.7	2.6	2.8	4.4	3.9	3.7
Nominal GDP (USD Tri)	1.92	1.87	1.48	1.64	1.91	2.00	2.05
Nominal GDP (BRL Tri)	7.00	7.39	7.61	8.90	9.88	10.46	10.97

Source: IBGE, BCB, Bloomberg, XP.

Foreword – The Brazilian economy in 2023

If someone had told us a year ago that the Fed Funds rate would go beyond 5%, there would be a war in Europe, the Brazilian Selic rate would reach almost 14%, and the presidential election would be decided by the narrowest margin ever; we would surely say that 2022 would be a tough year for the Brazilian economy and asset prices.

Quite on the contrary, GDP grew above expectations, inflationary pressures are starting to fade, and the Brazilian real was one of the few currencies that appreciated against the US Dollar.

What is necessary to keep this relatively good momentum in 2023?

From a global viewpoint, Brazil will probably continue to be a highlight. The economy is geographically far from geopolitical tensions, benefits from higher commodity prices and China´s reopening, and is one of the greenest economies in the world. Moreover, elected President Lula has been well received by most international leaders.

Global risks surely are present, as we point out in the global session of this report. But Brazil seems well positioned for them. On the domestic front, the investment-to-GDP ratio reached 7-year highs, suggesting stronger potential growth ahead (we estimate close to 2% per year). Inflation is gradually decelerating, thanks to the Central Bank's good job and global cost-push disinflation. This scenario, however, depends crucially on fiscal stability. Here lies the country's main risk ahead.

Despite recent improvements, the debt-to-GDP ratio remains at elevated levels, and expenditure pressures are mounting. The new government members have repeatedly said that the constitutional spending cap is no longer desirable but is yet to present an alternative. In our view, without a clear and credible rule for expenditures, public debt will not stabilize in the foreseeable future, putting pressure on business confidence and on inflation expectations.

Indeed, in the years before the constitutional cap, inflation was above 6%, and the Selic rate was 14%. This time around, with an independent Central Bank that pursues an inflation target of 3%, interest rates could be even higher, with a negative feedback loop on debt dynamics.

But it is still early to call on the fiscal policy under Lula's third mandate. When we wrote this report, the new economic team was not even announced, let alone the economic policy guidelines. Beyond fiscal, other economic themes like tax reform, public-private partnership models, and the role of BNDES and Petrobras will also be key for Brazil´s economic performance in 2023 and the following years.

It seems to be a scenario full of opportunities for Brazil, but it will not materialize without sound economic policies.

Global Backdrop: Tight monetary policy… brace for impact

The disinflationary process is expected to gain ground in 2023. Global inflationary pressures are likely to ease significantly in 2023 on the back of lower commodity prices, contractionary monetary policy, and normalizing supply chains. **Global economic activity is likely to weaken materially next year, and some countries may enter a contractionary period.**

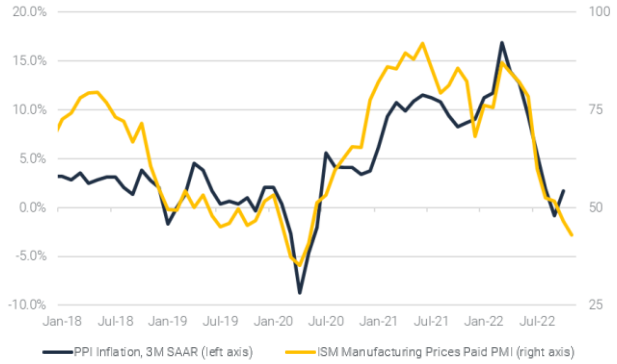
Commodity prices should stabilize, although at high levels. Despite the material increase during the past two years, commodity prices have eased recently, reflecting improvements in global supply bottlenecks and weaker demand. We expect Brent oil prices to end the year at around USD 90 per barrel. Metals might still fall further, reflecting the weakening of the global economy, although the potential reopening of the Chinese economy may increase its demand. Agricultural commodities are expected to remain elevated due to inelastic demand and weather conditions affecting the supply side.

Commodity prices eased reflecting lower global demand
Bloomberg Commodity Price Index. Source: BBG, XP

We believe the US will likely fall into a mild recession in 2023. With inflation not being as "transitory", the Fed was forced to increase interest rates aggressively this year compared to the historical conduct of monetary policy. The Fed is almost certain to end 2022 with the upper bound of the Fed Funds rate at 4.5%. How much further up the Fed Funds rates will go next year will depend on the upcoming data related to prices, the labor market, and activity.

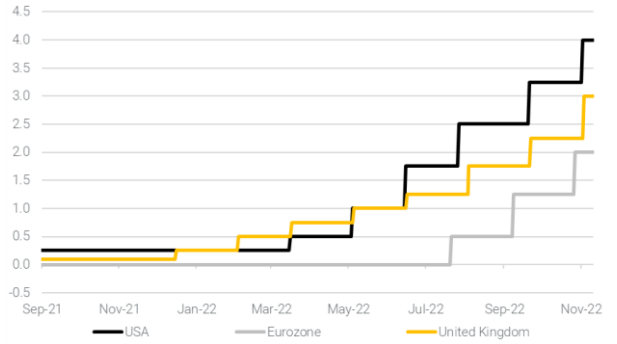
The labor market remains tight, and inflation remains significantly above the 2% target, though it has started to ease. Most leading high-frequency indicators suggest that the US economy is slowing materially, especially the housing market. If the upcoming data proves to be benevolent, we believe that the Fed might find space to pause the tightening cycle sooner than the market expects. Otherwise, we are likely to see subsequent 25bps hikes next year until the data starts to "collaborate." In any case, financial conditions have already become significantly restrictive, which will likely drive the US economy into a mild recession.

Leading indicators suggest material disinflation in the US
PPI and ISM Manufacturing Prices Paid PMI. Source: BBG, XP



We believe that 2023 will prove to be another very challenging year for the European economies. Despite recent improvements in global supply chain bottlenecks and the mild winter start in Europe helping fill gas storage tanks, uncertainty remains high amid persistent geopolitical tensions in Ukraine, and conditions could deteriorate again next year during cold months. Also, interest rates are expected to increase further, given that core inflation is still expected to continue increasing in upcoming months as there is likely still more pass-through from high wholesale energy prices to consumer prices to come. Against this backdrop, we anticipate a deeper recession in Europe in 2023.

The global economy is expected to weaken amid tighter financial conditions in major economies
Annual Policy Rate (%). Source: Bloomberg, XP



In China, all eyes are on the zero Covid policies. The persistence of strict lockdown measures throughout the year and the weakness in the property market have hampered economic growth materially this year. We believe that GDP will grow by around 3.3% in 2022, considerably below the 5.5% target the government set at the start of the year. Given that low levels of inflation in China have allowed for expansionary monetary and fiscal policy, we believe the Chinese economy has the potential to grow above 5% and partially offset the weakness in global

economic activity. Nevertheless, the outlook will remain hostage to the lockdown measures. The rising social tensions combined with the prospect of advancing elderly vaccination should force the reopening of the economy, although the recent spike in Covid cases may delay this decision.

Emerging market assets have outperformed in 2022, although the risk premium remains high. Despite the dollar having appreciated significantly due to greater global risk aversion, Latin American currencies have shown a solid performance when compared to those of other major economies (eg: Euro, Pound, Yuan). Furthermore, most Latin American stocks have outperformed the S&P500 in 2022 so far. However, global risk aversion and domestic political uncertainties continue to trigger high volatility and keep assets at discounted values. We believe that uncertainties will extend into 2023, and asset prices will remain hostage to domestic and global developments. Moreover, financial conditions should remain tight throughout next year, and economic activity is expected to decelerate considerably.

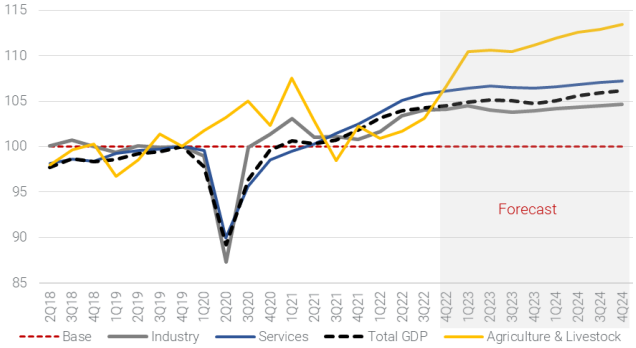
Brazil: A bumpy beginning

Economic Activity – Increasing signs of slowdown

Brazil's GDP increased at a moderate pace in Q3, as expected, but revisions to the historical data series should lead to slightly stronger growth in 2022. IBGE (national statistics office) reported last week that headline GDP rose by 0.4% in Q3 compared to Q2 (and 3.6% compared to the same quarter last year), roughly in line with estimates. Nonetheless, upward revisions to GDP performance in previous quarters are likely to lead to greater economic growth this year.

Accordingly, we are revising our forecast for 2022 GDP growth to 3.0% from 2.8%.

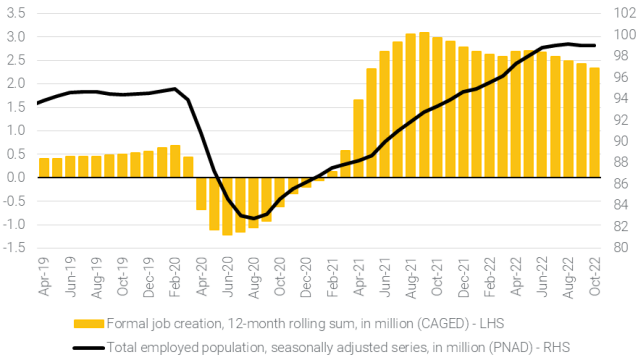
Slowdown of domestic activity should be softened by the sharp increase in agriculture and livestock
Seasonally adjusted series. Base: 4Q19=100. Source: IBGE, XP



That said, signs of cooling in domestic activity have been increasingly clear. Employment data continue on a positive trajectory but has lost steam in recent months. For instance, total employed population remained virtually flat in October, with shrinkages in the informal workers´ categories. Credit concessions have also been losing strength, especially in the lines more sensitive to the economic cycle. Additionally, household indebtedness remains at historically high levels, and non-performing loans have been rising, albeit moderately.

Industrial production and retail sales weaken amid tighter monetary policy. Sectors more sensitive to credit conditions (e.g., durable consumer goods and capital goods) show a downward path, which should not be reversed in the short term. In turn, sectors more sensitive to income still record positive numbers, particularly non-durable consumer goods (e.g., food, beverage, pharmaceuticals, personal hygiene items, and fuels). The increase in the real household disposable income – real wages resumed growth in the wake of a tighter labor market and easing inflation – and short-term fiscal stimuli support that dynamic.

Job creation has been losing steam in recent months
Source: IBGE, Ministry of Economy, XP



Services and agribusiness continue to play a leading role. The tertiary sector remains on the rise on the back of the economic reopening and normalization of the consumption pattern. Transport, information, communication, accommodation, and food services have been

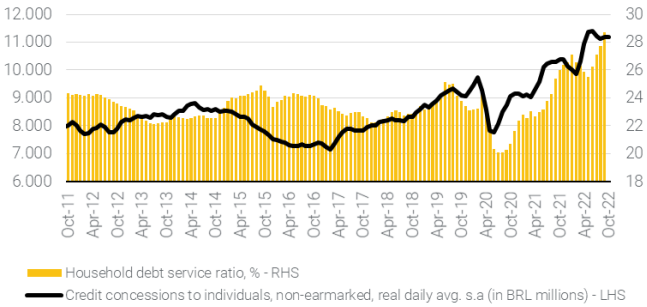
recovering since mid-2021, and should still positively contribute to total GDP growth in the coming months. Furthermore, activities less sensitive to the economic policy – agriculture and livestock stand out – will likely grow strongly next year (we anticipate an 8% expansion for the primary sector's GDP).

In all, we maintain our expectation that Brazil's GDP will rise by 1.0% in 2023. This forecast considers a slight gain of 0.1% QoQ for Q422 GDP (2.4% YoY) and a statistical carry-over effect of 0.5pp for next year's GDP.

The fiscal policy stance impacts economic activity, directly and indirectly. The rise in public spending may represent an income boost in the short term, highlighting the expansion of the 'Bolsa Família' welfare program (our baseline scenario already incorporated the maintenance of the monthly benefit at BRL 600) and the potential for a real increase in the minimum wage. However, the further tightening of financial conditions stemming from the deteriorating fiscal outlook more than offsets that positive effect, in our view, especially in the medium term. In this regard, we postponed the beginning of the monetary easing cycle in our baseline scenario, with the benchmark Selic rate remaining at 13.75% until the end of 2023. This largely explains the prospects of low dynamism for domestic activity in 2024.

We project an increase of 0.8% for 2024 GDP. That is, a considerably lower advance than our recent estimates for potential GDP growth (close to 2% per year). For more information, see the report *XP Macro Special: Discussions on cyclical recovery and structural economic growth*.

Credit concessions still at high level, but households indebtedness is concerning
Concessions, 3-month-moving-average. Source: BCB, XP.



GDP Breakdown (annual change, %)	2021	2022 (F)	2023 (F)	2024 (P)
Agriculture and Livestock	0.3	-0.6	8.0	2.0
Industry	4.8	1.8	0.3	0.5
Services	5.2	4.1	0.6	0.7
Total GDP	5.0	3.0	1.0	0.8
Household Consumption	3.7	3.9	1.2	0.9
Government Consumption	3.5	1.6	0.9	0.7
Gross Fixed Capital Formation	16.5	0.3	-0.8	0.5
Exports	5.9	3.3	2.1	1.2
Imports (-)	12.0	0.7	1.5	1.0

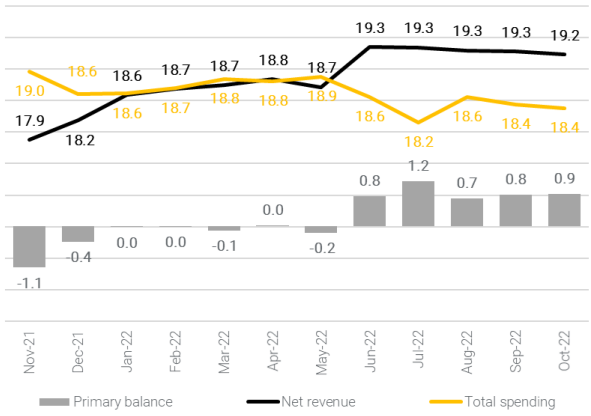
Source: IBGE, XP.

Fiscal – The risk of a political transition without fiscal consolidation

Positive outcome in 2022... In October, the consolidated public sector reached a surplus of BRL 27.1 billion thanks to a positive result of BRL 30.2 billion from the central government and BRL 0.7 billion from state-owned companies, partially offset by a deficit of BRL 3.9 billion from subnational governments. Year-to-date, the public sector shows a surplus of BRL 157.9 billion. Considering that expenses tend to rise during the latter months of the year, we expect the consolidated public sector to end 2022 with a surplus of BRL 128 billion (1.3% of GDP), of which BRL 55.2 billion (0.6% of GDP) comes from the central government and R$67.5 billion (0.7%) from subnational governments.

...followed by a spending increase in 2023. The newly elected government sent to Congress a proposal for a constitutional

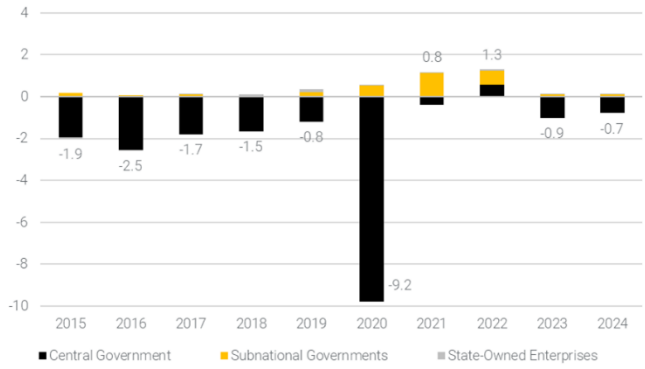
Strong tax revenues pushed the central government's primary surplus into positive territory
12-month accumulated, % of GDP. Source: STN, XP



amendment to remove from the spending ceiling, for a period of 4 years, expenses related to the Auxílio-Brasil welfare program, among others, with an impact of around BRL 200 billion. Parliamentarians indicate the approval of a lower amount, but that would still result in a significant increase in spending in 2023 (of around R$ 150 billion).

We consider an expansion of BRL 140 billion for the next two years in our scenario. In our view, an amount of R$ 100 billion would be enough to pay the Auxílio-Brasil of R$ 600, the additional R$ 150 for children under 6 years old and make the necessary adjustments in several programs that had their endowments reduced in the next year's budget. However, in line with what was signaled by the parliamentary discussion, we adopted an expansion of BRL 140 billion in our scenario.

Public Sector to show deficit next years
As % of GDP. Source: BCB, XP



Spending to GDP ratio should rise. To maintain the spending to GDP ratio of 2022 (around 18.4%), we calculate that an additional amount of BRL 57 billion relative to the currently values in the budget proposal would be necessary. Therefore, the increase of BRL 140 billion will cause expenditure to rise to 19.2% of GDP, an increase of 0.8 pp in relation to this year. It is worth noting that expenses for 2022 are already at least R$ 41.3 billion above the ceiling due to Constitutional Amendment No. 123/2022, which instituted and expanded several benefits.

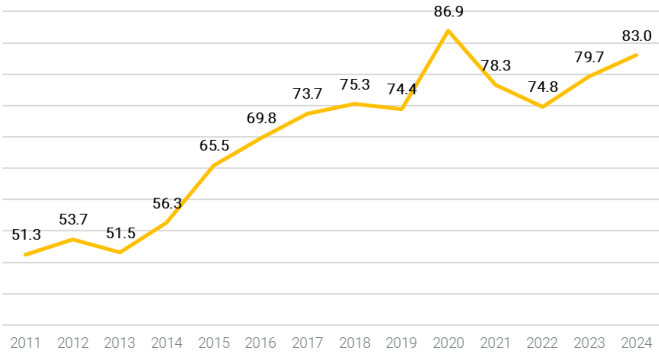
Expenditure increase estimates for 2023

	2022	2023		
	XP	PLOA	XP	Difference XP-PLOA
GDP (BRL billion)	9.881	10.643	10.464	-179
Total Spending (BRL billion)	1.817	1.867	2.007	140
Total Spending (% GDP)	18,4	17,5	19,2	1,6

In this scenario, we estimate a deficit of BRL 106.9 billion (1.0% of GDP) in 2023 and BRL 87.8 billion (0.8% of GDP) in 2024 for the central government. The increase of expenses and the economic slowdown should lead the central government to negative fields in the next two years, reversing the result of 2022. However, our calculations consider the reversal of federal tax cuts on fuel. **Without this extra revenue, the deficit would rise to BRL 161 billion (1.5% of GDP) in 2023 and BRL 143 billion (1.3% of GDP) in 2024**.

Risk also in subnational governments. The states have shown losses in ICMS (state-level VAT) collection due to the reduction in electricity and fuel tax rates. This could lead to a significant worsening of the primary results if adjustment measures are not taken. For now, **we believe that the subnational governments will be able to maintain a surplus close to 0.1% in 2023 and 2024**.

Higher interest rates should lead to further growth in debt
As % of GDP. Source: BCB, XP



Public debt will fall in 2022 but should rise again in 2023 and 2024. The primary surplus and greater economic growth (including revisions to nominal GDP) explain the drop in debt this year, which should reach 74.8% in our most up-to-date estimate. But spending expansion without signaling a credible fiscal consolidation should make the Central Bank keep interest rates at a higher level for a longer period. Thus, we adopt the premise that the Selic will remain unchanged until the end of 2023, starting a reduction only in 2024 (see monetary policy section). With a higher cost, the public debt should rise more than 8pp In the next years.

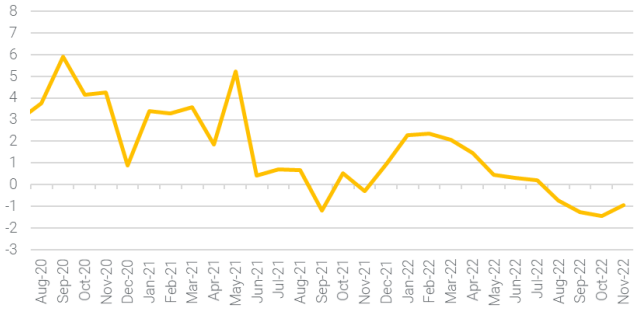
Sustainability of public finances is fundamental for economic performance. The new government has not yet signaled how it will

finance the increase in expenses. The institution of a fiscal framework that allows the public debt to return to a sustainable trajectory is a necessary condition for the convergence of inflation expectations, the fall in interest rates and higher economic growth in the coming years. If there is an indication of a new credible rule that moves in this direction, interest rates may be reduced more quickly, making the work of fiscal adjustment less costly. Thus, it is essential that the elected government submit a proposal for a fiscal framework in early 2023.

Inflation – Expansionary fiscal policy should pressure medium-term inflation

Recent data show the beginning of the disinflation process. The IGP-M price index for November fell by 0.56%, after falling by 0.97% in the previous month. The wholesale inflation component (IPA) registered deflation for the fourth consecutive month. Costs decompression tends to reach the consumer later on.

Producer prices dropped for the fourth consecutive month
IPA-M, MoM (%). Source: FGV, XP



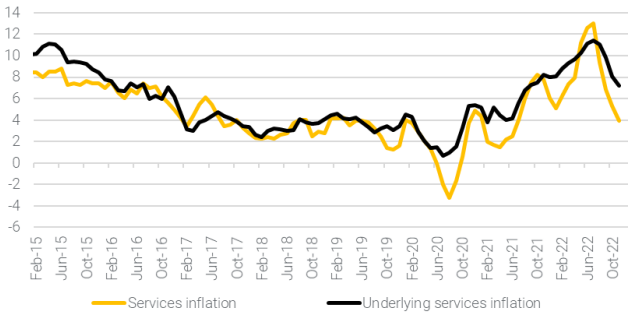
Service inflation is also starting to show more favorable dynamics. In the November inflation preview, as measured by the IPCA-15, annualized services inflation cooled to 3.93%, from 5.91% in October (3-month moving average, seasonally adjusted). The group of underlying services – prices more sensitive to the economic cycle – retreated from 8.08% to 7.21% on the same basis of comparison.

The economic slowdown, as a response to the monetary adjustment implemented by the Central Bank, reinforces the downward trend in inflation in the coming quarters.

Thus, we maintain our projection for the 2022 IPCA at 5.8%, after registering 10.1% in 2021.

Disinflation should continue in the first quarters of 2023. We adjusted the IPCA projection for next year slightly, from 5.2% to 5.4%, due to occasional adjustments in the projection of some items, such as education and fuel.

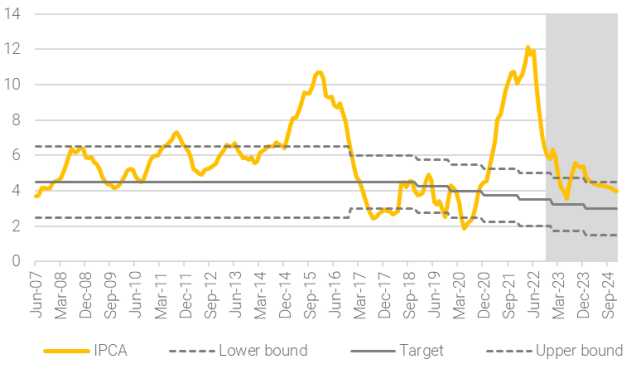
Services inflation fall down in line with economic slowdown
3M SAAR (%). Source: IBGE, XP



However, medium-term projections already reflect expansionary fiscal policy. As already discussed in the activity section, the expansion of government expenditure represents a short-term income boost. In addition to the effect on aggregate demand, expansionary fiscal policy raises asset prices, the degree of uncertainty and inflation expectations. For more information, see the report "Medium-term expectations are key for the Copom's strategy to work."

We forecast the IPCA at 4.0% in 2024, above the target but within the target range. A fiscal policy that is more expansionist than expected tends to contaminate agents' expectations for longer terms and may raise the neutral interest rate. We understand that this pressure on expectations will lead the Copom to maintain the Selic rate high for a longer period (see monetary policy session). However, even with interest rates at a contractionary level for longer, we believe that inflation will not converge to the target in 2024.

Slower inflation convergence to the target
YoY (%). Source: IBGE, BCB, XP

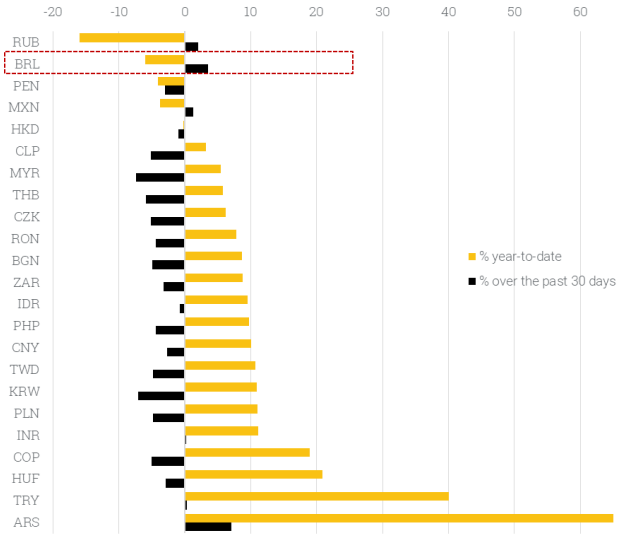


External Sector: domestic risks weigh heavily on the exchange rate

The Brazilian exchange rate has shown high volatility recently in the wake of higher fiscal risks. The prospects of deteriorating public accounts have exerted significant upward pressure on the exchange rate, which has oscillated between BRL/USD 5.05 and BRL/USD 5.40 in recent weeks. The increase in local risks has offset the positive effects from external factors, such as the rise in commodity prices and the recent weakening of the US dollar (the DXY index, which measures the value of the US currency against a basket of six strong currencies, fell by 5% last month).

We adjusted the forecast for the exchange rate at the end of 2022, to BRL/USD 5.25 from BRL/USD 5.00, while maintaining the expectation of BRL/USD 5.30 for the end of 2023. In our view, the worsening of the fiscal outlook will likely continue to weigh on the exchange rate dynamics next year. On the other hand, signs of relief in the global environment, particularly the disinflation in several economies (potential for greater risk appetite) and the economic reopening in China (maintenance of commodity prices at high levels), should prevent a sharper depreciation of the exchange rate in Brazil. Considering a similar dynamic, we forecast BRL/USD 5.40 for the end of 2024.

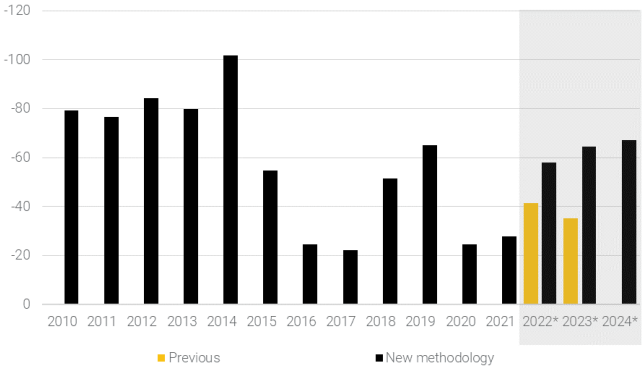
Brazilian Real weakens amid rising fiscal risks, despite still showing year-to-date appreciation
Exchange rate variation (%). Source: Bloomberg, XP.



Balance of payments statistics published in October brought ordinary and extraordinary revisions, with emphasis on changes in the Transportation - Freight account. As a result, the current account deficit for 2021 widened from USD 27.9 billion (-1.7% of GDP) to USD 46.4 billion (-2.9% of GDP). In turn, the current account deficit from January to September 2022 was revised from USD 29.6 billion to USD 39.4 billion (changes in the Transportation group accounted for approximately 90% of the total revision). FDI transactions have presented minor changes – for example, from USD 70.7 billion to USD 68.4 billion for the Jan-Sep 2022 period.

Incorporating the October results and methodological changes in the balance of payments, we now project a (much) wider current account deficit and (slightly) smaller FDI surplus in 2022. We forecast that the current account balance will reach -USD 57.8 billion in 2022 (-3.0% of GDP), previously at -USD 41.6 billion (-2.4% of GDP). In turn, we project FDI at USD 84.5 billion this year (4.4% of GDP), previously at USD 89.0 billion in 2022 (4.7% of GDP).

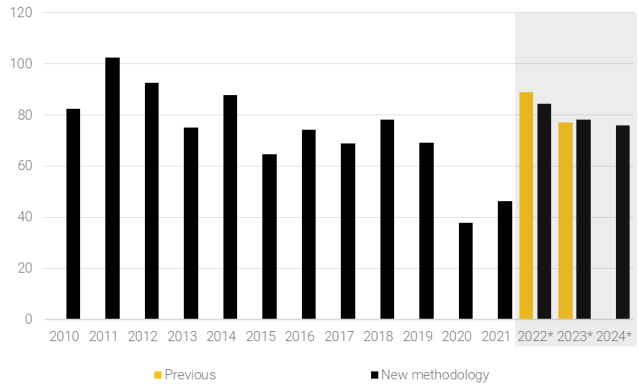
After methodological revision, current account deficit widens
USD billions. Source: BCB, XP



For 2023, we estimate the current account balance at -USD 60.5 billion (-3.0% of GDP) and the net FDI inflows at USD 78.3 billion (3.9% of GDP). Our previous estimates were -USD 46 billion (-2.3% of GDP) and USD 77.0 billion (3.9% of GDP), respectively. For 20234, the current account deficit should widen moderately, amounting to USD 63.0 billion (-3.1% of GDP), while the FDI surplus is expected to decline to USD 76.0 billion (3.7% of GDP).

The favorable dynamics of the Brazilian external accounts persist, despite global and domestic uncertainties and the stronger-than-anticipated increase in the current account deficit. FDI inflows will likely continue at high levels, slowing smoothly in the coming years. Meanwhile, the widening of the current account deficit should lose strength, in line with the cooling of domestic demand and the exchange rate at depreciated levels.

FDI dynamics remain positive
USD billions. Source: BCB, XP



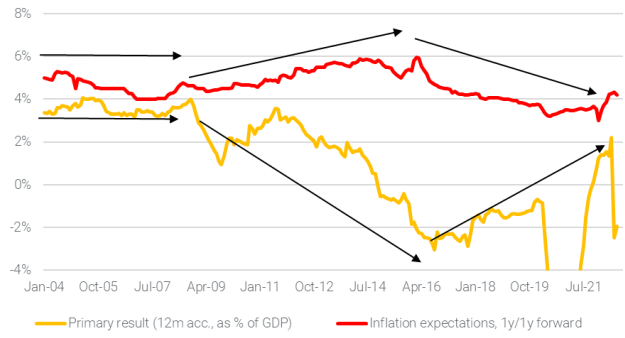
Monetary Policy – More expansionary fiscal policy postpones monetary easing

The central bank's strategy seems to be working. The Selic rate at a contractionary level is taming domestic demand and short-term inflation expectations. The effect of the long-expected global disinflation on domestic prices is becoming clearer, particularly with the BRL reacting well to the global monetary tightening.

However, the increasing fiscal risk may jeopardize inflation convergency over the medium term. More expansionary fiscal policy expected for 2023 onwards (see the fiscal session of this report) tends to keep 2024 inflation expectations above the target path.

If debt sustainability is under threat, long term inflation expectations tend to reflect the risk of some degree of debt monetization. The 2024 forecasts, which are already above the target according to the Focus survey and the futures markets (break-even inflation rate) – may move further up.

Fiscal dynamics pressure medium-term inflation
% var. Source: BCB, XP



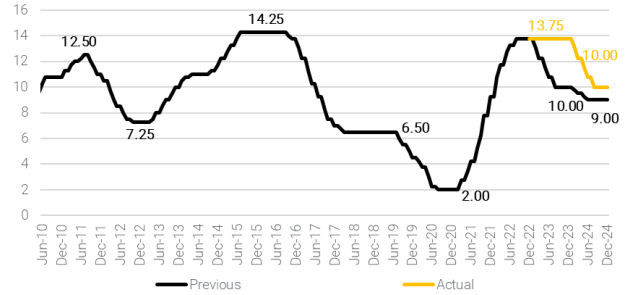
Under this scenario, we postponed the easing cycle that we previously expected to happen in 2023 to 2024. We now believe that the Copom will keep the Selic rate at 13.75% until 2023 yearend. Our simulations using the Copom's model suggest it would be enough to offset the increase in inflation expectations that will probably come along with a more expansionary fiscal policy.

Monetary policy in 2024 will crucially depend on the new fiscal anchor. With more predictability on debt dynamics, the Selic rate could gradually converge back to a more neutral level (around 5% in real terms).

Thus, we forecast the Selic rate at 10.00% by 2024 yearend. However, we emphasize that the neutral level also depends on the debt dynamics and fiscal risks. Before the spending cap was established in 2016, the Selic rate was 12-14% and inflation hovered around 6%.

In other words, if the fiscal regime is changing and fiscal policy proves to be even more expansionary than we now contemplate in our baseline scenario, the equilibrium level of the Selic rate may also change both in real and nominal terms. It makes forecasting monetary policy in Brazil today an even more challenging task.

Fiscal uncertanties to postpone monetary easing
Selic rate target (%). Source: BCB, XP



XP Forecasts	2018	2019	2020	2021	2022 (F)	2023 (F)	2024 (F)
GDP growth (%)	1.8	1.2	-3.3	4.6	3.0	1.0	0.8
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.0	8.5	9.0
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	5.8	5.4	4.0
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.25	5.30	5.40
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.3	0.7	1.2	-0.9	-0.7
Gross debt (% GDP)	75.3	74.3	86.9	78.8	74.8	79.7	83.0
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	62.5	59.0	56.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	336.2	347.5	350.8
Imports (USD Bn)	185.3	185.9	158.8	219.4	273.7	288.5	294.8
Current Account (USD Bn)	-54.8	-68.0	-28.2	-46.4	-57.8	-64.5	-67.0
Current Account (% GDP)	-2.9	-3.6	-1.9	-2.8	-3.0	-3.2	-3.3
FDI (USD Bn)	78.2	69.2	37.8	46.4	84.5	78.3	76.0
FDI (% GDP)	4.1	3.7	2.6	2.8	4.4	3.9	3.7
Nominal GDP (USD Tri)	1.92	1.87	1.48	1.64	1.91	2.00	2.05
Nominal GDP (BRL Tri)	7.00	7.39	7.61	8.90	9.88	10.46	10.97

Source: IBGE, BCB, Bloomberg, XP.

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